

point out the best way. By the best way is meant the greatest total profit for the least risk. The type of accounting-statistical activity which the general public seems to visualize as the heart of successful investing will, if enough effort be given it, turn up some apparent bargains. Some of these may be real bargains. In the case of others there may be such acute business troubles lying ahead, yet not discernible from a purely statistical study, that instead of being bargains they are actually selling at prices which in a few years will have proven to be very high.

Meanwhile, in the case of even the genuine bargain, the degree by which it is undervalued is usually somewhat limited. The time it takes to get adjusted to its true value is frequently considerable. So far as I have been able to observe, this means that over a time sufficient to give a fair comparison—say five years—the most skilled statistical bargain hunter ends up with a profit which is but a small part of the profit attained by those using reasonable intelligence in appraising the business characteristics of superbly managed growth companies. This, of course, is after charging the growth-stock investor with losses on ventures which did not turn out as expected, and charging the bargain hunter for a proportionate amount of bargains that just didn't turn out.

The reason why the growth stocks do so much better is that they seem to show gains in value in the hundreds of per cent each decade. In contrast, it is an unusual bargain that is as much as 50 per cent undervalued. The cumulative effect of this simple arithmetic should be obvious.

At this point, the potential investor may have to start revising his ideas about the amount of time needed to locate the right investments for his purpose, to say nothing of the characteristics he must have if he is to find them. Perhaps he looked forward to spending a few hours each week in the comfort of his home, studying scads of written material which he felt would unlock the door to worthwhile profits. He just does not have the time to seek out, cultivate, and talk with all the various people it might be wise to contact if he wants to handle his common stock investments to his optimum benefit. Perhaps he does have the time. He still may not have the inclination and personality to seek out and chat with a group of people, most of whom he previously had not known very well if at all. Furthermore, it is not enough just to chat with them; it is necessary to arouse their interest and their confidence to a point where they will tell what they know. The